

FEDERAL MARITIME COMMISSION

Docket Nos. 16-01, 16-07, 16-10 and 16-11

IN RE VEHICLE CARRIER SERVICES

**RESPONDENTS' CONSOLIDATED OPPOSITION TO
THE MOTION OF PROFESSORS SANT'AMBROGIO AND ZIMMERMAN
FOR LEAVE TO FILE A BRIEF AS *AMICI CURIAE*
IN SUPPORT OF COMPLAINANTS' APPEAL**

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Respondents Wallenius Wilhelmsen Logistics AS and Wallenius Wilhelmsen Logistics Americas LLC, (collectively, “WWL”); Nippon Yusen Kabushiki Kaisha and NYK Line (North America) Inc. (collectively, “NYK”); EUKOR Car Carriers Inc. (“EUKOR”); Compañía Sud Americana de Vapores S.A. and CSAV Agency North America, LLC (collectively, “CSAV”); Höegh Autoliners Holdings AS, Höegh Autoliners AS, Höegh Autoliners, Inc., Autotrans AS and Alliance Navigation LLC (collectively, “Höegh”); Mitsui O.S.K. Lines, Ltd., Mitsui O.S.K. Bulk Shipping (USA) Inc., World Logistics Service (U.S.A.) Inc. and Nissan Motor Car Carrier Co., Ltd. (collectively, “MOL”); and Kawasaki Kisen Kaisha, Ltd., and “K” Line America, Inc. (collectively, “K’ Line”) (NYK, EUKOR, WWL, CSAV, Höegh, MOL and “K” Line are referred to collectively as “Respondents”), by and through their undersigned counsel, submit their consolidated opposition to the motion of Professors Sant’Ambrogio and Zimmerman (“movants”) for leave to file a brief as *amici curiae* (the “*amicus* motion”) in support of complainants’ July 30, 2018 appeal from the May 7, 2018 initial decision granting in part and denying in part respondents’ consolidated motion to dismiss and supplemental motion to dismiss in FMC Dockets Nos. 16-01, 16-07, 16-10 and 16-11.

I. ARGUMENT.

There are two separate and discrete reasons the *amicus* motion should be denied: because it is untimely, and because it does not satisfy or meet applicable legal standards. Each of those reasons is addressed below, and each suffices to deny the relief requested.

A. THE *AMICUS* MOTION IS UNTIMELY.

As a threshold matter, the *amicus* motion should be denied because it is untimely: it was not filed within the time allotted under the regulations of the Federal Maritime Commission (“FMC” or “Commission”) and no request for additional time was made.

Rule 73(c) of the FMC's Rules of Practice and Procedure, 46 *C.F.R.* §502.73(c), provides the relevant rule of decision: "[e]xcept as otherwise permitted by the Commission or the presiding officer, an *amicus curiae* must file its brief no later than 7 days after the initial brief of the party it supports is received at the Commission." The Commission's docket sheet¹ discloses that complainants' appeal from the May 7, 2018 initial decision in these dockets was received on July 30, 2018. That means that the *amicus* motion was due on or before Monday, August 6, 2018. The docket sheet also shows that the *amicus* motion was not filed until August 7, 2018, a day after the filing deadline and that no contemporaneous request for enlargement of time was made. It is factually indisputable: the *amicus* motion was and remains untimely filed, and it should be denied.

B. THE AMICUS MOTION DOES NOT SATISFY APPLICABLE STANDARDS.

In addition to being untimely, the *amicus* motion suffers from a second fatal flaw: it fails to comply with the legal standards applicable under the Commission's Rules of Practice and Procedure and relevant precedent.

Rule 73 of the Commission's Rules of Practice and Procedure, 46 *C.F.R.* §502.73, sets forth the requirements applicable to the filing of an *amicus* brief. Among them are that "[a] motion for leave to file an *amicus* brief must identify the interest of the applicant and must state the reasons why such a brief is desirable." 46 *C.F.R.* §502.73(b) (emphasis supplied). These standards do not exist in a vacuum: they are based on and substantively identical to the standards in Rule 29 of the Federal Rules of Appellate Procedure, *Fed. R. App. P.* 29(a)(3)(A) and (B) ("The motion [for leave to file an *amicus* brief] must be accompanied by the proposed brief and state: (A) the movant's interest; and (B) the reason why an *amicus* brief is desirable and

¹ Available at <https://www.fmc.gov/16-10/>.

why the matters asserted are relevant to the disposition of the case.”); *see also Sea-Land Service, Inc. – Possible Violations of Sections (10)(b)(1), 10(b)(4) and 19 of the Shipping Act of 1984*, 29 S.R.R. 1326, 1327 (FMC 2003) (“*Sea-Land Serv.*”).

In addition to modeling its own rule on the federal appellate rule governing *amicus* briefs, the Commission has quoted with approval the general standards applied by the United States Court of Appeals for the Seventh Circuit designed to eliminate “unnecessary and unhelpful” *amicus* filings:

An *amicus* brief should normally be allowed when a party is not represented competently or is not represented at all, when the *amicus* has an interest in some other case that may be affected by the decision in the present case (though not enough affected to entitle the *amicus* to intervene and become a party in the present case), or when the *amicus* has unique information or perspective that can help the court beyond the help that the lawyers for the parties are able to provide.

[*Exclusive Tug Franchises – MTOs Serving The Lower Mississippi River*, 30 S.R.R. 651, 653 (FMC 2005), quoting *Ryan v. Commodity Futures Trading Comm’n*, 125 F3d 1062, 1063 (7th Cir. 1997) (Posner, J., in chambers).²]

As demonstrated by a review of each of those standards, movants’ *amicus* motion fails on its face to carry its burden.

1. Movants lack any interest in this proceeding.

Rule 73(b) of the Commission’s Rules of Practice and Procedure requires that an applicant for *amicus* status must identify its interest in the proceeding. 46 C.F.R. §502.73(b). Movants abjectly fail to comply with this requirement.

A reasonable interest in a proceeding exists where the applicant is a regulated entity the operations of which will be affected by the Commission’s resolution of one or more issues in the

² See also *Cobell v. Norton*, 246 F.Supp.2d 59, 62 (D.D.C. 2003) (citing *Ryan*).

proceeding in which the movant wishes to seek *amicus* status. *Sea-Land Serv.*, 29 S.R.R. at 1330. Addressing a corollary, the Seventh Circuit has explained that there is a valid interest on the part of the *amicus* when “the *amicus* has an interest in some other case that may be affected by the decision in the present case.” *Ryan v. CFTC*, 125 F3d at 1063.

Movants -- two law professors who lack any relationship to this or any other Commission proceeding save for a form of voyeurism couched in purported academic terms -- are not subject to regulation by the Commission and have no interest whatsoever in the Commission’s resolution of the class action issue in this case or in how that resolution might affect other cases before the Commission. The lack of any identifiable interest is revealed by what passes as the *amicus* motion’s required statement of purported interest; according to movants, their amorphous interest is solely “in identifying ways that agencies can respond to many claims efficiently, consistently and fairly[.]” Motion at 2. In other words, movants have not identified any interest they have in this proceeding or how its outcome would affect other cases. The reasons for the void in satisfying their burden is self-evident: movants have no cognizable interest in this proceeding or its outcome.

2. Movants have failed to show why consideration of their proposed *amicus* brief is desirable.

Rule 73(b) also requires that applicants for *amicus* status must state why the submission of a proposed *amicus* brief is desirable. Tellingly, movants make no effort whatsoever to do this, stating instead that they “submit this brief to clarify how and when agencies, like the Federal Maritime Commission, may use aggregate tools to accomplish these goals.” Motion at 2. That statement does nothing to suggest that the proposed *amicus* brief is desirable or that it would be useful to the FMC.

The *amicus* motion speaks generally of “aggregation” and refers to “ways” agencies can respond to many claims. From the outset, then, the emphasis of the *amicus* motion shows that the scope of the proposed *amicus* brief exceeds the scope of the germane issue before the Commission, which is limited to the applicability of class action concepts in a reparations context under the Shipping Act.³ An *amicus* brief that goes beyond the scope of the issue before the agency is detrimental rather than desirable.

The obvious lack of desirability of the proposed *amicus* brief is further underscored by the *amicus* motion’s remarkable admission that “[t]he parties and the Administrative Law Judge (ALJ) relied on our earlier work in the cases below, but disagreed about the import of our recommendations and overlooked new developments in administrative aggregate procedure.” Motion at 2. That admission alone defeats the *amicus* motion and, ultimately, begs the question: if movants’ work in fact was referenced below -- and it certainly was -- then the necessary information is in the record already, and a further brief on the subject is redundant and unnecessary. The fact that opposing parties in litigation disagree on the import of material is to be expected, as is the administrative law judge’s resolution of that disagreement in favor of one side or the other. Nothing out of the ordinary is present here, and nothing here justifies granting the *amicus* motion.

The lack of desirability for submission of the proposed *amicus* brief is confirmed further by the *amicus* motion’s contradictory statement that “[a]mici support complainants’ position that the Federal Maritime Commission has the power to aggregate claims in appropriate cases. [But

³ Curiously, movants fail to acknowledge that the Commission already has regulations relating to other forms of aggregation. *See, e.g.*, 46 C.F.R. §502.74. The Commission also has a variety of other means to respond to many claims “efficiently, consistently and fairly,” including the Office of Consumer Affairs and Dispute Resolution Services and its small claims procedures. *See* 46 C.F.R. Part 502, Subpart S; Subpart T; and Subpart U.

that amicus take no position about whether aggregation in this particular case is warranted.”

Motion at 2 (emphasis supplied). In other words, movants do not have, nor do they offer, any views on how the class action issue should be resolved in this case, which highlights a stunning lack of interest in this case.

3. Complainants are adequately represented, and the issues in the proposed *amicus* brief already have been addressed.

The participation of movants in this proceeding is neither necessary nor will it add anything to the Commission’s consideration of the issue of its authority to entertain a class action complaint.

When certain factors are present, federal courts may allow the filing of an *amicus* brief in limited circumstances: either a party is not represented competently or is not represented at all; or when the *amicus* has unique information or perspective that can help the court beyond the help that the lawyers for the parties are able to provide. *Ryan v. CFTC, supra*. But, those circumstances stand in stark contrast to the facts here. Complainants are represented by numerous reputable and experienced counsel; there can be no credible claim that an *amicus* brief from interloper “scholars” is necessary to protect the interest of complainants.

The *amicus* motion startlingly concedes that the materials of movants in fact were cited, discussed, and, to the extent deemed credible, relied on below. *See* May 7, 2018 initial decision at 24; Complainants’ July 30, 2018 appeal at 9-10. There is no reason to believe that movants now have any unique information or perspective beyond that already in the record. Moreover, there is no indication that movants would be able to add anything through their proposed *amicus* brief beyond that which to date has been and in the future will be ably presented to the Commission by counsel of record for the parties to this proceeding. Indeed, the materials of movants were discussed at length in Complainants’ brief in support of their appeal. *See*

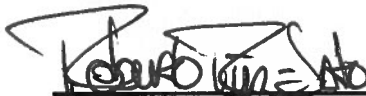
Complainants' July 30, 2018 appeal from the initial decision at 6, 10, 11. At best, the proposed *amicus* brief is unnecessarily duplicative; at worst, it is nothing more than a marketing ploy.

II. CONCLUSION.

For the foregoing authority, arguments and reasons, respondents respectfully pray that the *amicus* motion in Dockets Nos. 16-01, 16-07, 16-10 and 16-11 be denied.⁴

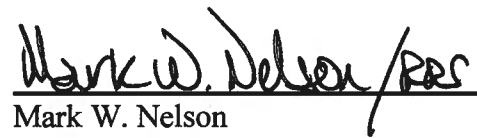
Respectfully submitted,

DATED: August 14, 2018

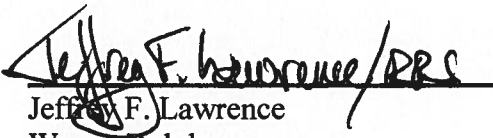

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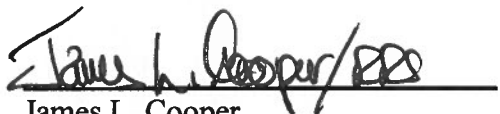

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⁴ If the Commission is inclined to grant the *amicus* motion and permit the filing of the proposed *amicus* brief, respondents respectfully request that they be allowed a period of twenty-two (22) days thereafter to file a reply; although the Commission's regulations address the time for the filing of an *amicus* brief, they are silent on the time available to reply.



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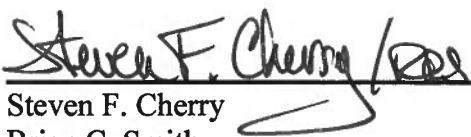
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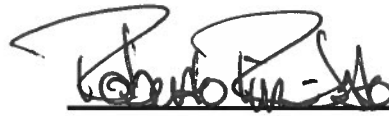
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IV. CERTIFICATE OF SERVICE.

I hereby certify that, on August 14, 2018, a true and correct copy of the foregoing respondents' consolidated opposition to the motion of Professors Sant'Ambrogio and Zimmerman for leave to file a brief as *amici curiae* in support of complainants' appeal was filed electronically with the Secretary of the Federal Maritime Commission, and electronic copies thereof were sent to movants and to all lead/liaison counsel for complainants identified in the Commission's March 16, 2017 order.

DATED: August 14, 2018



Roberto A. Rivera-Soto